



Chapter 5 data

Reference:

Chapter 5, Williamson

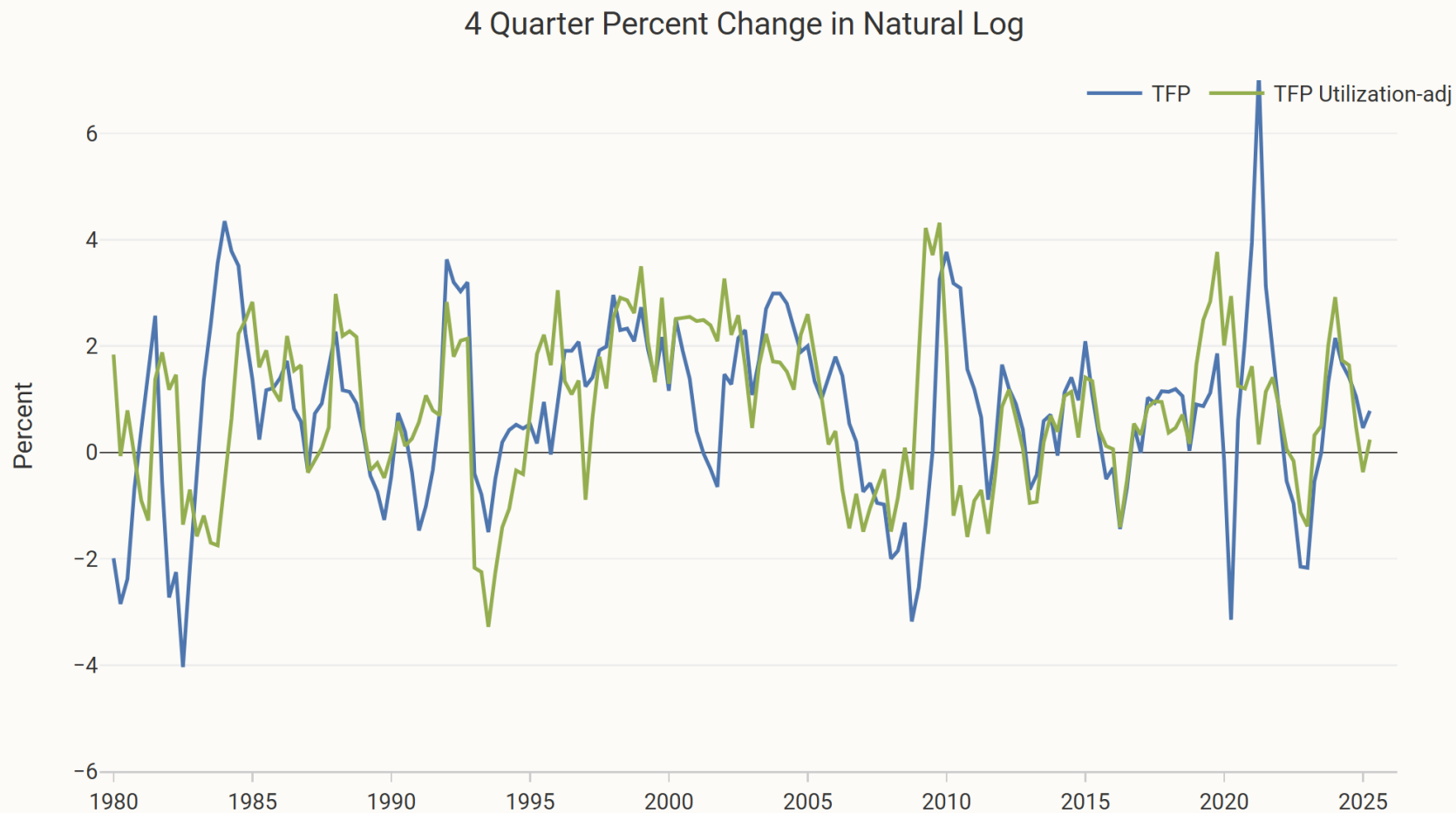
<https://ourworldindata.org/working-hours>

<https://fred.stlouisfed.org/categories/32443>

<https://www.econsnapshot.com/>



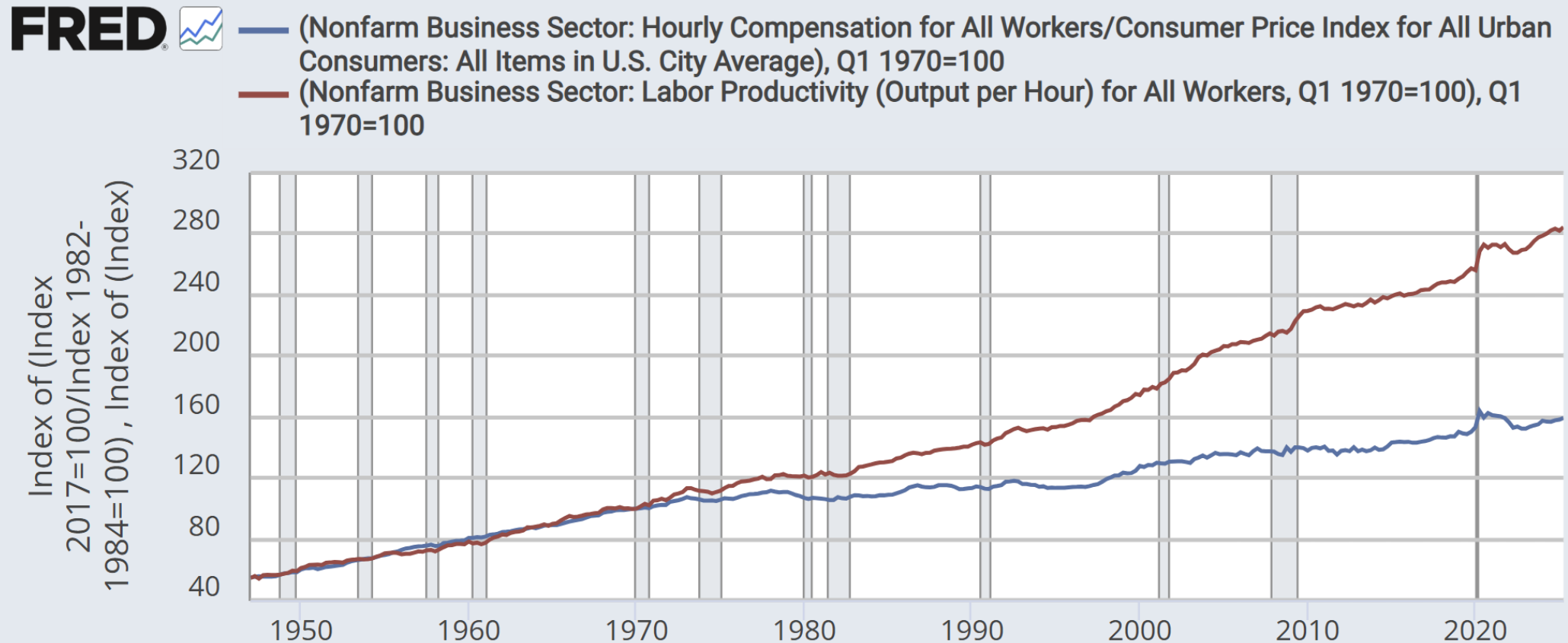
The adjustment for variable utilization in the quarterly series follows Basu, Fernald, and Kimball (2006). BFK sought to adjust for a range of non-technological factors that affect measured TFP, of which variations in the utilization margin – i.e., the intensity margin for the workweek of capital and labor effort – are only one. (Reflecting limitations in quarterly data, other corrections that are not implemented in the quarterly series include allowing for deviations from perfect competition and for various reallocation effects). Nevertheless, the utilization-adjusted quarterly series is an improvement over more “naive” measures of TFP as a high-frequency indicator of technological change.



When comparing wages and worker productivity, the price measure matters



Posted on March 23, 2023



Source: U.S. Bureau of Labor Statistics via FRED®

Shaded areas indicate U.S. recessions.

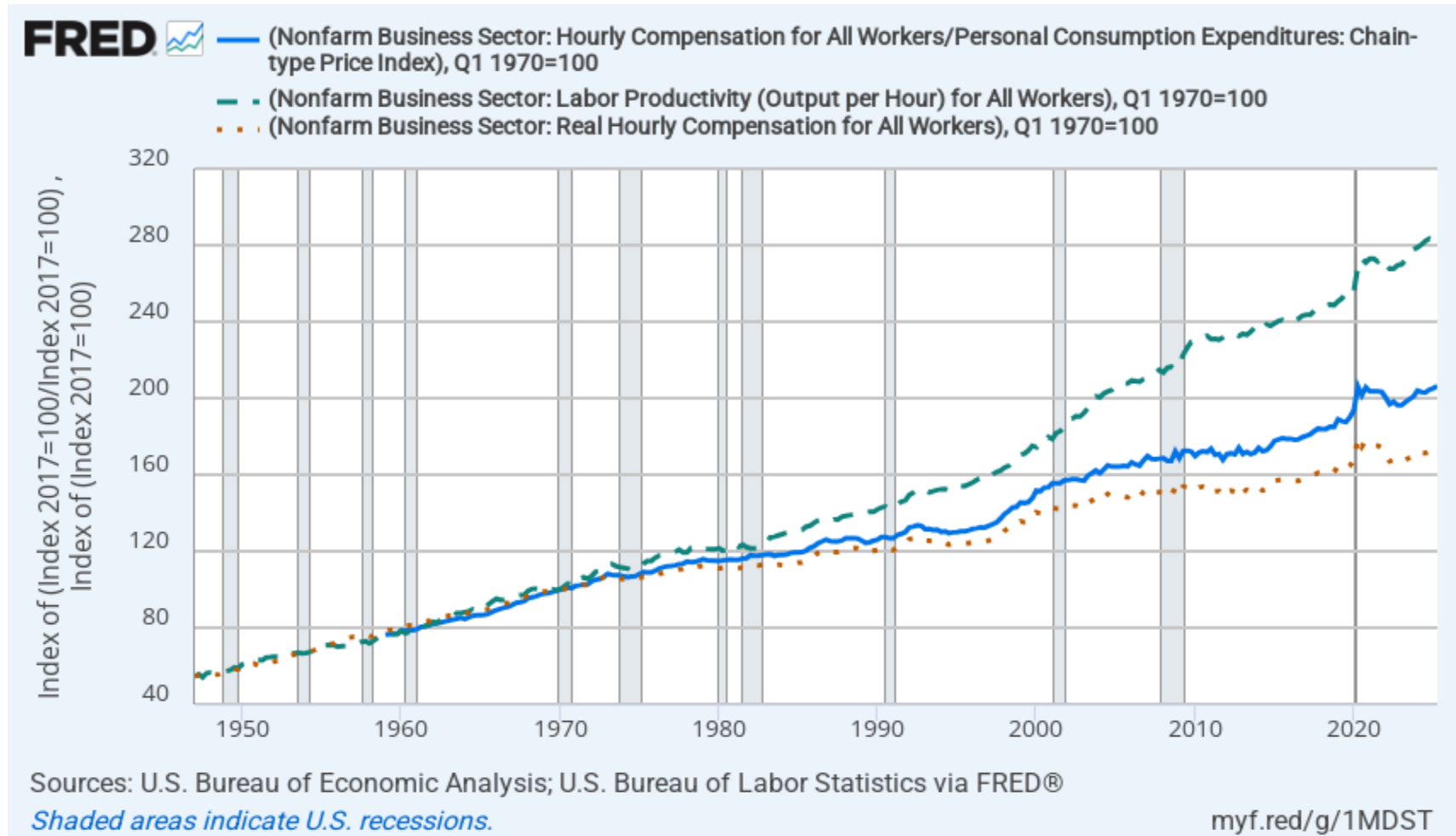
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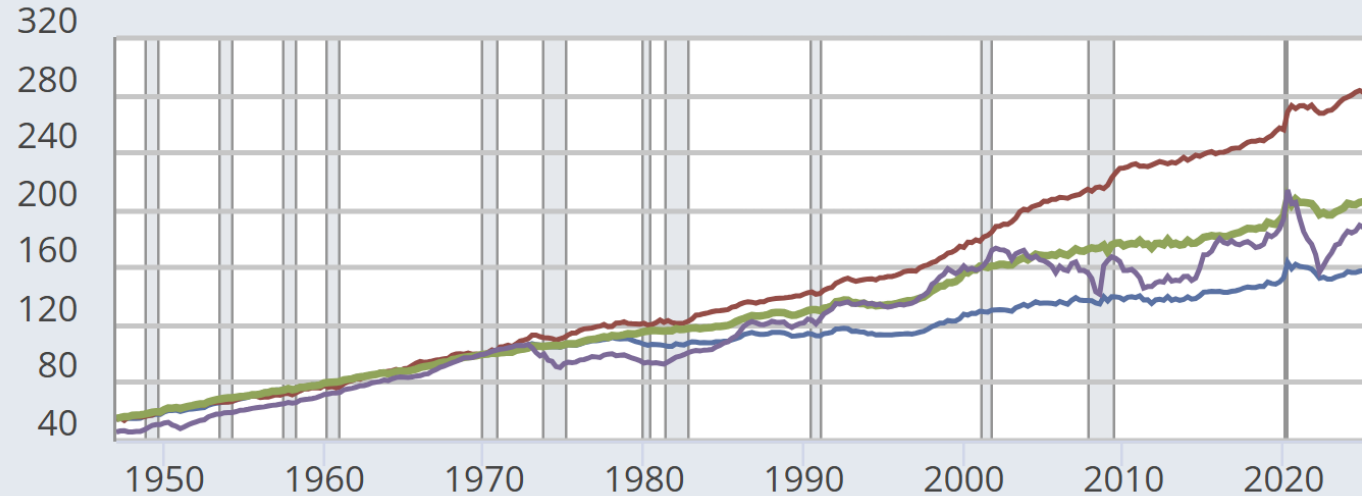


The gap between the trends shrinks by a third if you use the PCE rather than the CPI to deflate the wage data



- (Nonfarm Business Sector: Hourly Compensation for All Workers/Consumer Price Index for All Urban Consumers: All Items in U.S. City Average), Q1 1970=100
- Nonfarm Business Sector: Labor Productivity (Output per Hour) for All Workers, Q1 1970=100
- (Nonfarm Business Sector: Hourly Compensation for All Workers/Gross Domestic Product: Implicit Price Deflator), Q1 1970=100
- (Nonfarm Business Sector: Hourly Compensation for All Workers/Producer Price Index by Commodity: All Commodities), Q1 1970=100

Index of (Index
2017=100/Index
1982-1984=100),
Index, Index of
(Index
2017=100/Index
2017=100), Index of
(Index
2017=100/Index
1982=100)



Sources: U.S. Bureau of Economic Analysis; U.S. Bureau of Labor Statistics via FRED®

Shaded areas indicate U.S. recessions.

myf.red/g/11CqZ

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Why would you take one price series over another? It depends on what question you're asking of the data. If you want to understand how businesses decide to allocate resources to factors of production (labor, capital, intermediates), then the second graph is relevant. If the topic is about worker purchasing power, then the first graph is relevant. But more fundamentally, why would these price indexes differ so much?



Or the
one
using the
PCE!

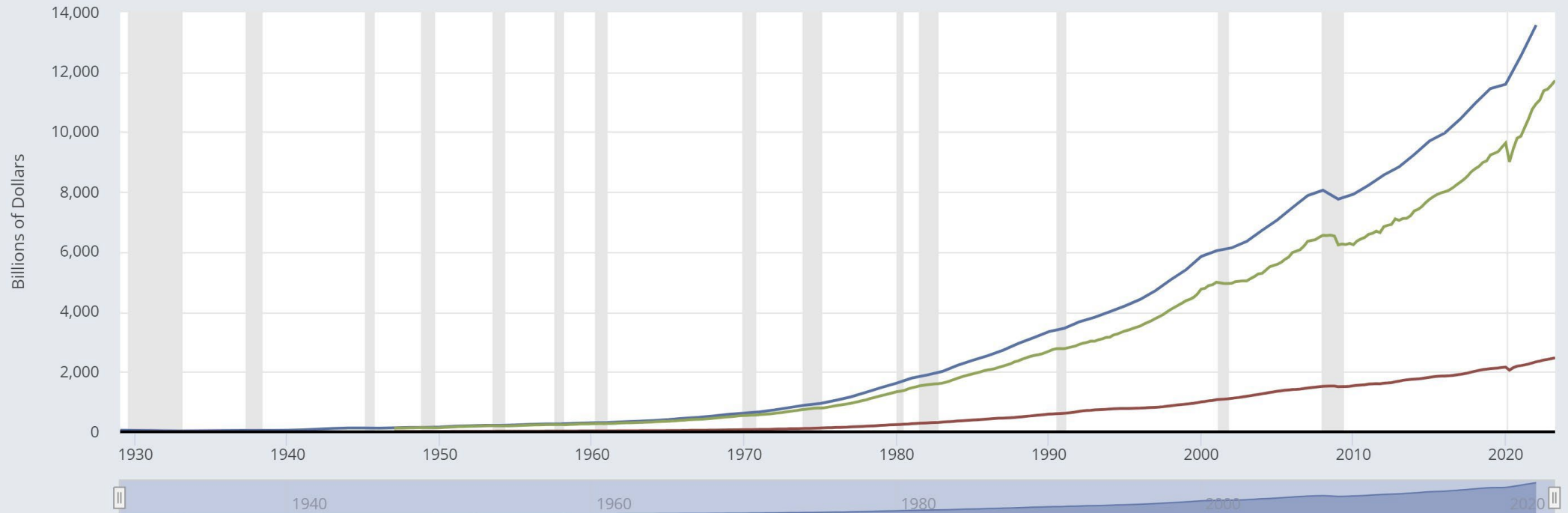


Compensation breakdown—wages are more procyclical than benefits



FRED

- National income: Compensation of employees
- Compensation of employees: Supplements to wages and salaries
- Gross domestic income: Compensation of employees, paid: Wages and salaries



Shaded areas indicate U.S. recessions.

Source: U.S. Bureau of Economic Analysis

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The case of World War 2

The huge WW2 increase in G^* was correlated with a relatively small fall in C and an increase in GDP

